

Customizing Your Budget

It's a good idea to put together a worksheet to get started in setting up your budget. You'll get some help for doing it here, but make sure the categories you use fit your personal lifestyle. Use the basic common categories that apply to everyone, such as housing, utilities, insurance, and food, but customize the other categories to fit your situation.

Your categories should be detailed enough to provide you with useful information, but not so detailed that you become bogged down in trivia.

First, list all your sources of income:

- Wages from your job(s)
- Bonuses
- Child support or alimony
- Rental income
- Interest income
- Dividend income
- Capital gains income
- Other income

Next, list the expense categories you want to track. Start out with a little more detail rather than a little less. You can always combine categories later if you find expenditures in one category are so small that they don't warrant being tracked separately.

Some sample expense categories include:

- Savings
- Mortgage or rent
- Utilities
- Auto expense
- Other transportation
- Credit card payments
- Student loan payments
- Other loan payments
- Home maintenance